

Slide 4 Reading Notes

Business insights | Meds Consulting LLC

Opening

This slide summarizes the business insights from the analysis. It also separates three types of significance: statistical, practical, and business significance.

The main message is that the strongest insights are not just statistically credible. They also need to be actionable for care teams and meaningful for NHN's business case.

1. Readmission risk stratification

The risk-decile chart shows that the model meaningfully separates patients by readmission risk. Readmission rates rise from 11.8 percent in the lowest decile to 82.3 percent in the highest decile.

That pattern supports statistical significance because the model is not randomly sorting patients. It gives NHN a way to identify patients who are much more likely to return within 30 days.

2. Business value scenario

The ROI table connects the analytical findings to business value. In the expected case, a 10 percent reduction in readmissions avoids about 518 readmissions and produces about 8.81 million dollars in net savings.

The conservative and optimistic scenarios show that the business case remains material across different assumptions. This is why the analysis matters to leadership, finance, and operations.

Scenario	Reduction	Net savings	ROI
Conservative	5.0%	\$4.28M	4.28x
Expected	10.0%	\$8.81M	5.03x
Optimistic	15.0%	\$13.36M	5.34x

3. Team identified

The team identified four major insight areas. Major performance drivers include chronic burden, prior admissions, emergency admission, and skilled nursing discharge. Hidden opportunities come from using risk tiers to focus support on patients most likely to return.

Risk factors include unknown follow-up status, high-acuity discharge, repeat utilization, and financial data quality. The unexpected finding is that unknown follow-up status has the highest observed readmission rate, which signals a visibility gap in the care-transition workflow.

4. Significance distinction

Statistical significance means the model and deciles reliably separate higher-risk patients. Practical significance means care teams can act on the signal before discharge or during follow-up. Business significance means the action improves outcomes, capacity, penalties, or savings.

A model signal alone is not enough. NHN should prioritize insights that are credible in the data, actionable in the workflow, and material to the business case.